BUSINESS CASE STUDY PACK

The M&S Cyber Attack, 2025

How one attack knocked out online sales for 46 days, cut half-year profit by 99% and cost Marks & Spencer around £300m

~£300m estimated hit to full-year operating profit	**46 days** with online orders switched off	**Up to 9.4m** online customers' personal data taken	**-99%** fall in half-year profit before tax

What's inside

Where it fits the specs

GCSE: AQA 8132 (3.1.3 risk and reward; 3.2 technology as an influence on business) - Edexcel 1BS0 - Cambridge IGCSE 0450 (external influences). A-Level: AQA 7132 (3.2 decision making, risk and uncertainty; 3.7.4 the technological environment) - Edexcel 9BS0 (3.6.3 scenario planning: risk assessment and business continuity).

How to use this pack

Use it as a one-lesson case study, a cover lesson, a homework read-and-answer, or the opening 'why business risk matters' hook in September. Everything a non-specialist needs is included: timeline, figures, questions and answer guidance.

The story: what happened

Who is M&S?
Marks & Spencer is one of the UK's best-known retailers: around 65,000 staff, more than 1,400 stores, selling food plus clothing & home. Before the attack it was in strong form - full-year profit had passed £800m and the turnaround was widely praised.

Timeline	
19-21 Apr 2025	Over the Easter weekend, things start failing in stores: contactless payments glitch and Click & Collect orders can't be picked up. M&S confirms it is managing a 'cyber incident'.
25 Apr 2025	M&S switches off ALL online orders - website and app. Customers can browse but not buy. Online sales at the time ran at roughly £3.8m a day.
Late Apr-May	Automated stock and ordering systems are shut down as a precaution. Staff fall back on pen and paper to keep fresh food moving. Some shelves sit empty. Agency staff and some warehouse workers are stood down.
13 May 2025	M&S confirms personal data of online customers was taken - reported as up to 9.4 million people: names, dates of birth, contact details and order history. No usable card details or passwords.
21 May 2025	M&S tells investors the attack will cost around £300m in operating profit for the year - roughly a third of annual profit - before insurance and cost savings.
10 Jun 2025	Online clothing orders resume after a 46-day suspension. Full services, including Click & Collect, take longer to return.
10 Jul 2025	The National Crime Agency arrests four people - aged 17 to 20 - in connection with the attacks on M&S, Co-op and Harrods.
Nov 2025	Half-year results show statutory profit before tax fell from £391.9m to £3.4m - down 99% - cushioned by an insurance payout of around £100m.

The bigger picture
M&S was not alone. In the same weeks the Co-op was attacked (data on around 6.5 million members taken) and Harrods blocked an attempted break-in. Security researchers linked the wave to a group called Scattered Spider, using ransomware known as DragonForce.

How they got in - and what stopped working

The way in (reported)
Reports say the attackers did not 'hack' a firewall at all. They used **social engineering**: phoning an IT help desk run by a third-party supplier and impersonating M&S staff to get passwords reset. Once inside, they moved through the network and deployed **ransomware** - software that scrambles a company's systems and demands payment. M&S has not said whether any ransom was paid.

Operational impact

What broke, in business terms	
Online sales	Switched off completely for 46 days (25 Apr - 10 Jun). M&S made roughly £3.8m a day online before the attack - that revenue simply stopped.
Stores	Card payment glitches at first; then gaps on shelves as automated ordering was replaced by manual counting and pen-and-paper orders.
Supply chain	Depot and warehouse work disrupted; some agency staff stood down; suppliers' orders became unpredictable.
People	Head-office and IT teams worked around the clock for weeks; store staff dealt with frustrated customers face to face.
Competitors	Shoppers who couldn't buy online went elsewhere - rivals such as Next reportedly picked up sales while M&S was offline.

Teaching point
A cyber attack is not an 'IT problem'. Within days it became an operations problem (empty shelves), a finance problem (lost revenue, extra costs), a marketing problem (reputation and trust), and an HR problem (overtime, stood-down staff). That is why this case works for almost any unit you teach.

In the classroom	
Sort the damage (10 min)	In pairs, list every cost of the attack you can find on pages 2-4. Sort them two ways: (a) one-off vs ongoing, (b) easy to measure in pounds vs hard to measure. Then decide: which single cost hurts most in the LONG run - and why? (No fixed answer - strong cases exist for lost online revenue, the profit hit, or lost customer trust.)
What retailers changed afterwards	Staff training against social engineering (the way in was a phone call, not code); security checks on suppliers and their help desks; multi-factor authentication; rehearsed continuity plans; and a hard look at cyber insurance cover. Ask students: which of these is cheapest per pound of risk removed?

The damage: numbers and stakeholders

The financial scorecard	
Estimated hit to full-year operating profit	**~£300m (M&S's own estimate, May 2025)**
Half-year statutory profit before tax	**£391.9m down to £3.4m (-99%)**
Insurance payout received	**~£100m (cyber insurance cushioned the blow)**
Online revenue lost	**Roughly £3.8m a day for 46 days while online orders were off**
Customers' data taken	**Up to 9.4 million online customers (no usable card data or passwords)**

Stakeholder impact	
Customers	Couldn't shop online for 46 days; personal data taken; trust damaged - but M&S's honest, frequent updates were widely praised.
Employees	Weeks of manual workarounds and overtime; some agency staff temporarily without work.
Shareholders	Share price fell sharply after the attack - reportedly over £1bn was wiped off M&S's market value at the low point (it later recovered). Profit for the year took the ~£300m hit.
Suppliers	Orders disrupted while systems were down; fresh-food suppliers hit hardest by manual ordering.
The wider industry	Every UK retail board asked the same question the next Monday: could this happen to us? Cyber insurance and help-desk security moved up the agenda.

Numbers task (calculator optional)	
1. Lost online revenue	M&S made roughly £3.8m a day online. Estimate the total online revenue lost over the 46-day suspension. (46 x £3.8m = about £175m.)
2. How much did insurance cover?	The insurance payout was about £100m against an estimated £300m profit hit. What fraction of the damage did insurance cover? (About a third.)
3. Talk about it	Revenue lost (~£175m) is smaller than the profit hit (~£300m). What OTHER costs make up the difference? (Recovery and rebuild costs, extra staffing, lost store sales, waste from supply disruption.)

The business concepts this case teaches

Concept by concept	
Risk and uncertainty	Entrepreneurs and managers take decisions without knowing what will happen. M&S could not have predicted the date of the attack - but attacks on retailers were a known, rising risk.
Contingency planning / business continuity	Plans made in advance for how the business keeps running when something goes wrong. M&S's fallback to pen-and-paper ordering kept food on (most) shelves - a live example of business continuity.
Insurance as risk management	M&S's cyber insurance paid out around £100m. Insurance doesn't stop the event - it transfers part of the financial risk to someone else, for a price (the premium).
Technology as an external influence	E-commerce made M&S bigger and more efficient - and created a new way to be attacked. The same technology that adds revenue adds risk.
Stakeholder conflict	Spending more on cyber security protects customers and staff but cuts short-term profit for shareholders. Boards have to choose.
Reputation and crisis communication	M&S communicated early and plainly, and its CEO fronted the response. Compare businesses that hide bad news - the cover-up usually costs more than the event.

Spec links	
GCSE	AQA 8132: 3.1.3 (risk and reward), 3.2 (technology, legislation and the economy as influences). Edexcel 1BS0: 1.1.2 (risk and reward), 1.5 (understanding external influences on business). Cambridge IGCSE 0450: external influences on business activity.
A-Level	AQA 7132: 3.2 (managers and decision making - risk and uncertainty), 3.7.4 (the technological environment). Edexcel 9BS0: 3.6.3 (scenario planning: risk assessment, contingency planning, business continuity).

GCSE exam-style questions

Questions	
Q1 (2 marks)	State two ways the cyber attack affected M&S's day-to-day operations.
Q2 (3 marks)	M&S's half-year profit before tax fell from £391.9m to £3.4m. Calculate the percentage fall in profit. Give your answer to 1 decimal place.
Q3 (9 marks)	Analyse the impact of the cyber attack on TWO of M&S's stakeholder groups.
Q4 (12 marks)	M&S received around £100m from its cyber insurance policy. Recommend whether a large retailer should spend more on preventing cyber attacks or on insurance against them. Justify your answer.

Worked calculation

Q2 worked answer: fall = 391.9 - 3.4 = £388.5m. Percentage fall = 388.5 / 391.9 x 100 = **99.1%** (1 d.p.). Award 1 mark for the subtraction, 1 for dividing by the ORIGINAL figure, 1 for the correct rounded answer.

Mark guidance	
Q1	1 mark per valid operational effect: online orders suspended / contactless failures / Click & Collect down / manual stock ordering / empty shelves.
Q3	Level 3 (7-9): developed chains of impact for both groups, using case figures (46 days offline, 9.4m customers, -99% H1 profit). Level 2 (4-6): some analysis, thin use of the case. Level 1 (1-3): identifies impacts only.
Q4	Level 1 (1-3): identifies relevant points. Level 2 (4-6): explains one side. Level 3 (7-9): weighs both sides but the judgement is thin. Level 4 (10-12): a supported recommendation that weighs prevention (stops the damage happening, protects reputation and data - but can't remove risk entirely) against insurance (caps the financial loss - but pays out AFTER the harm, and premiums rise). Strongest answers say 'both, in balance' and justify the balance with the £300m vs £100m figures.

A-Level exam-style questions

Questions	
Q1 (9 marks)	Analyse why a cyber attack of this kind can damage a retailer's profit for longer than the attack itself lasts.
Q2 (16 marks)	'Contingency planning is the most effective way for a large retailer to protect itself against external risks such as cyber attacks.' To what extent do you agree?

Indicative content	
Q1 - lines of analysis	Lost revenue during the outage (£3.8m/day online) -> lost customers form habits with rivals -> rebuilding trust takes marketing spend -> recovery costs (systems rebuilt, security upgraded, overtime) continue for months -> data breach may bring regulatory and legal costs later. Each chain should end at profit.
Q2 - for the statement	M&S's manual fallback kept food moving - continuity planning visibly limited the damage; planning is cheap compared with a £300m loss; scenario planning (Edexcel 3.6.3) forces managers to rehearse decisions before the crisis.
Q2 - against / counter	No plan prevented the £300m hit - contingency planning limits damage, it doesn't stop the event; prevention (staff training against social engineering, supplier security standards) attacks the cause; insurance transferred £100m of the loss; the best protection is a combination, so calling any single tool 'the most effective' is hard to defend.
Q2 - Level 4 pointers	A judgement that answers 'to what extent' directly (e.g. 'effective at limiting damage, ineffective at preventing it'), weighed with case evidence, and aware that the right mix depends on the retailer's size, data holdings and reliance on e-commerce.

Glossary, discussion starters and sources

Key terms	
Ransomware	Malicious software that locks or scrambles a company's systems; the attackers demand payment to undo it.
Social engineering	Tricking PEOPLE (not computers) into giving access - e.g. impersonating an employee on a call to an IT help desk.
Contingency plan	A plan prepared in advance for how the business responds if a specific risk happens.
Business continuity	Keeping essential operations running during a crisis - e.g. M&S's pen-and-paper ordering.
Cyber insurance	A policy that pays out for losses caused by cyber attacks, in exchange for a premium.
Operating profit	Profit from normal trading, before interest and tax.
Profit before tax (PBT)	Profit after all costs and interest, before corporation tax is deducted.

Discussion starters

1. Was M&S unlucky, or underprepared? Can it be both? 2. Who should pay for better cyber security - shareholders (lower profit) or customers (higher prices)? 3. The attackers reportedly got in through a supplier's help desk. How far should a business be responsible for its suppliers' security?

Sources and honesty notes

M&S trading statement 21 May 2025 and half-year results Nov 2025; CNBC 21 May 2025; National Crime Agency announcement 10 Jul 2025; Reuters, BBC and Computer Weekly reporting Apr 2025 - Jun 2026. Figures are as reported at the time; 'reportedly' marks claims M&S has not itself confirmed. This pack is an independent teaching resource and is not affiliated with or endorsed by Marks & Spencer.